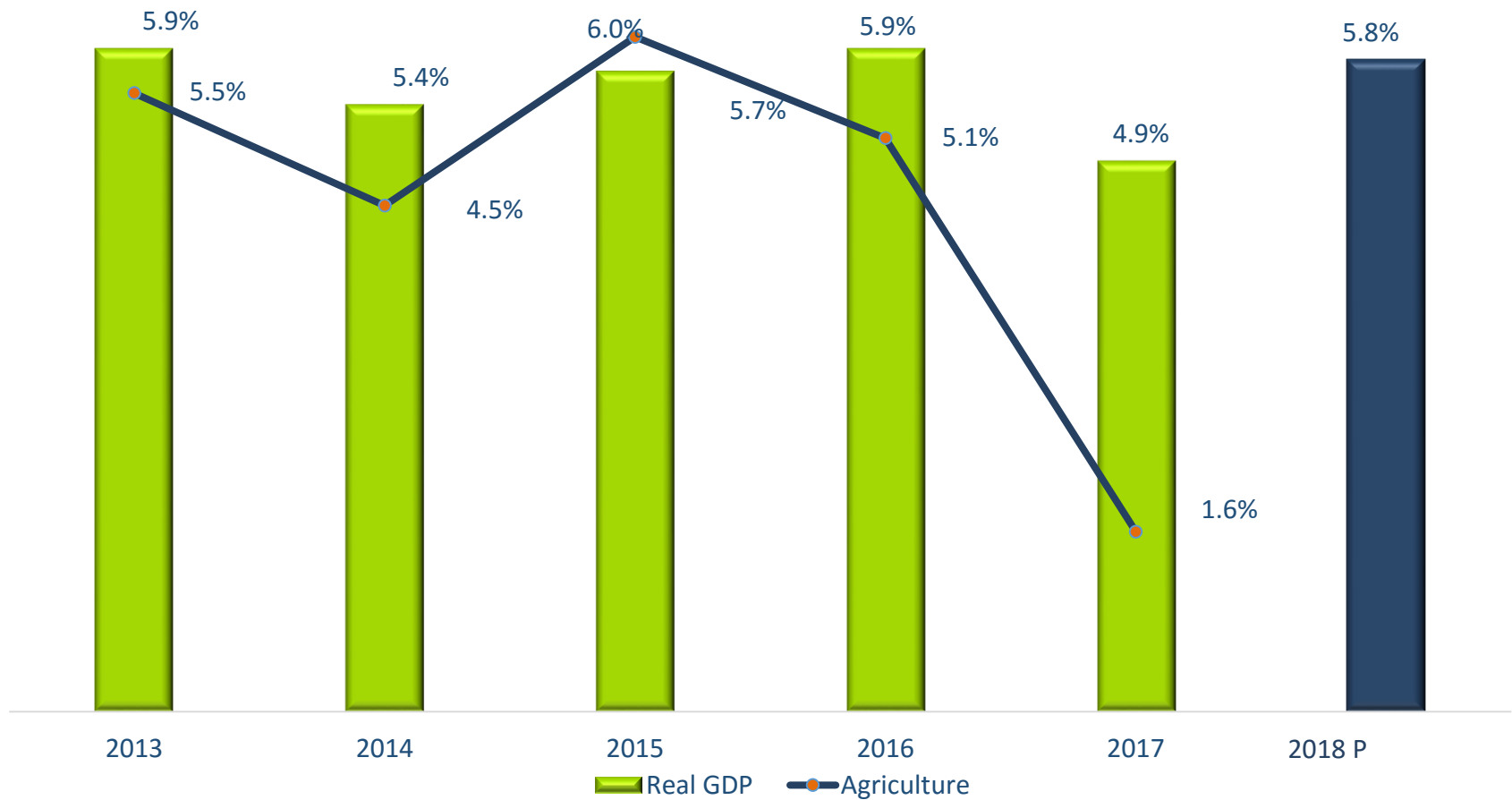




KCB GROUP PLC INVESTOR
PRESENTATION.
Q1 2018 FINANCIAL RESULTS

Macro-Economic Highlights: Kenya

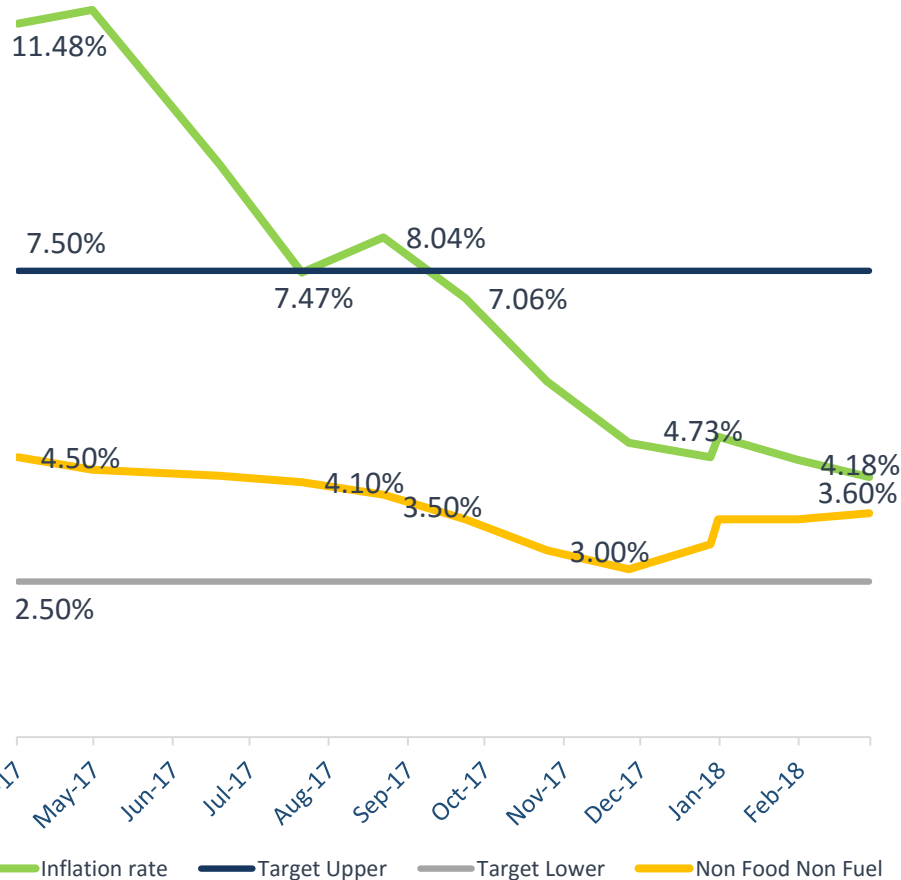
GDP Forecasted to Recover



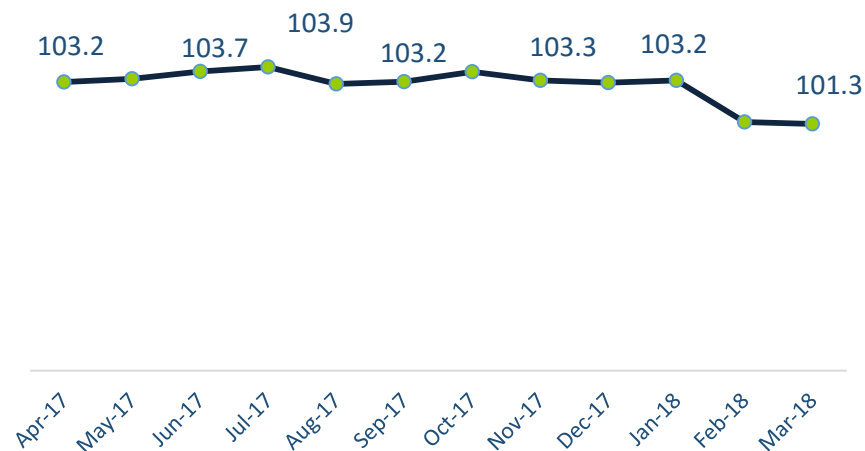
Source: CBK, WB

Macro-Economic Highlights: Kenya

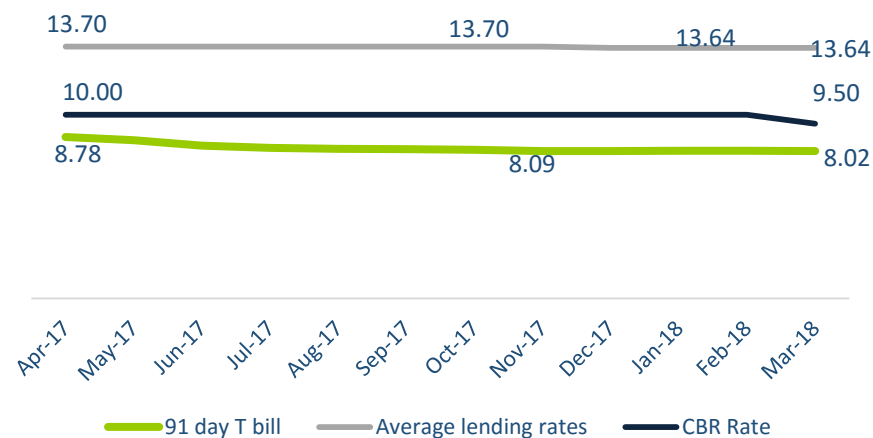
Inflation



USD/KES Exchange Rate



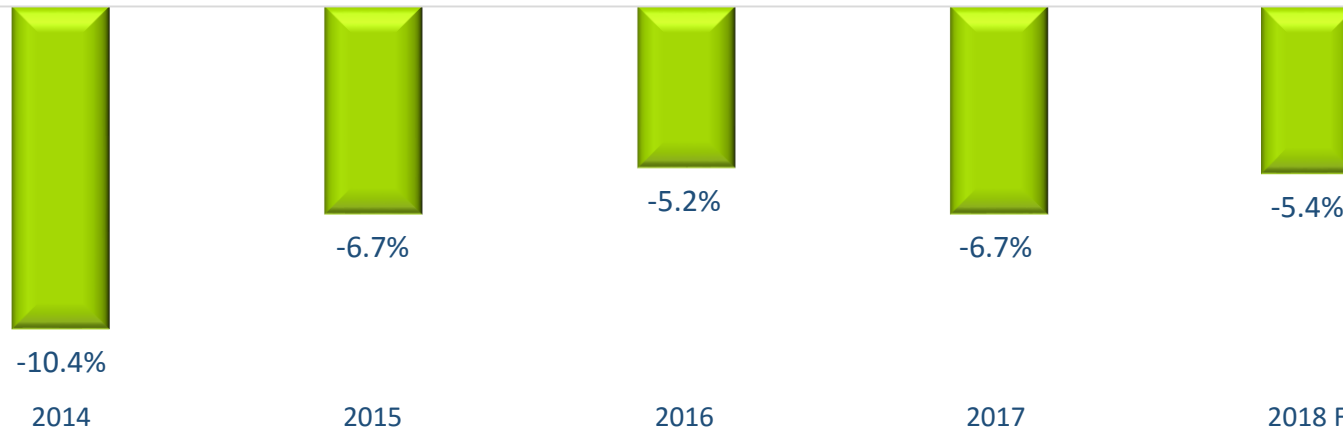
Interest Rate Evolution (%)



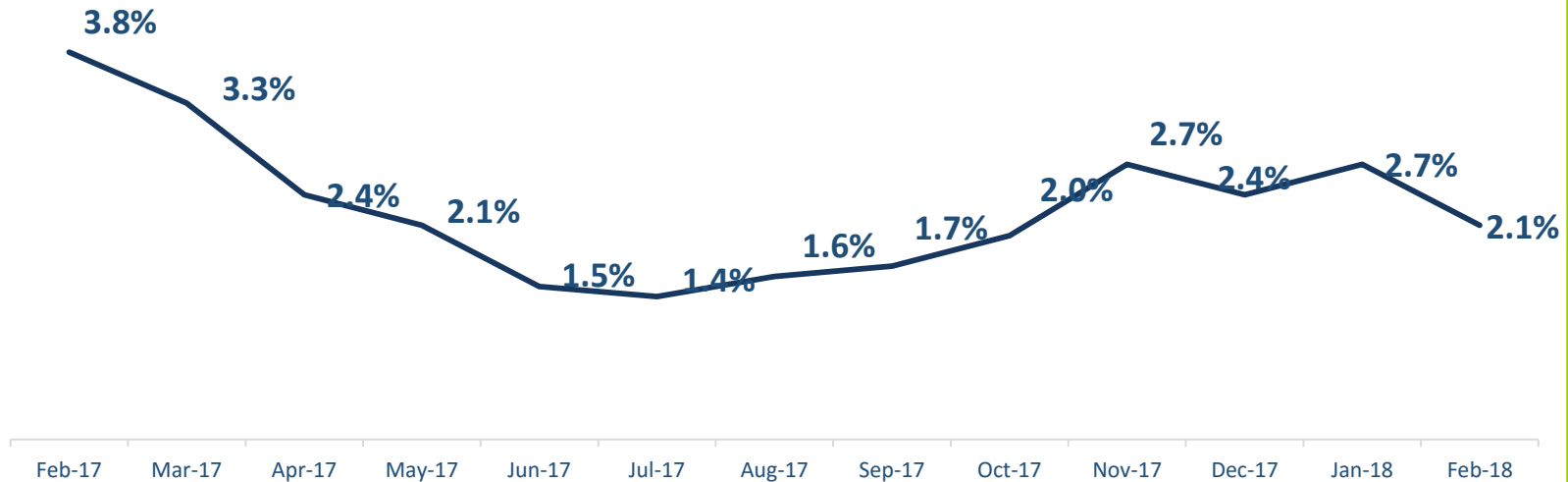
Sources: CBK, KNBS

Macro-Economic Highlights: Kenya

Current Account Balance (% of GDP)

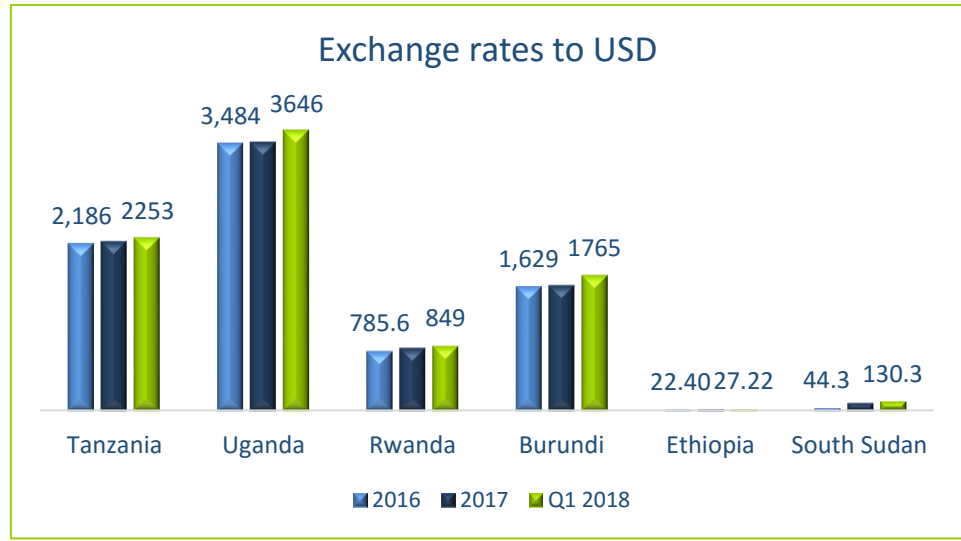
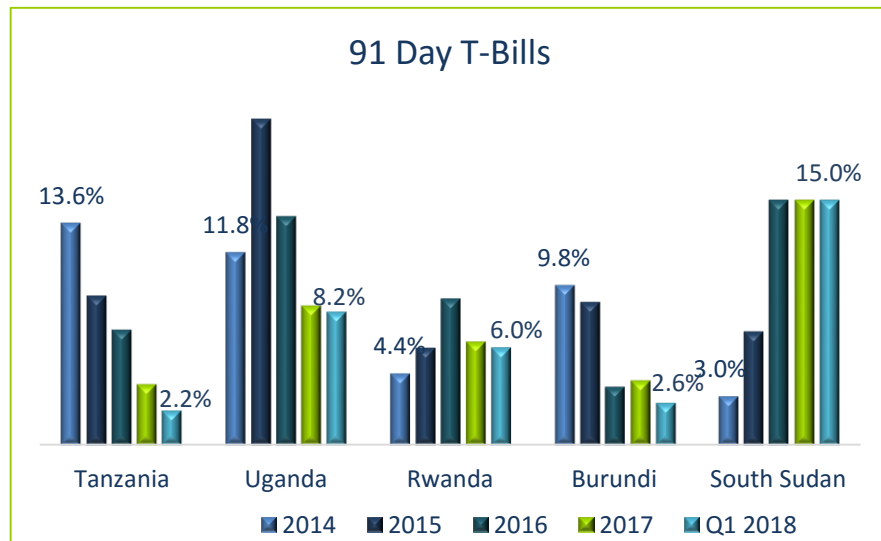
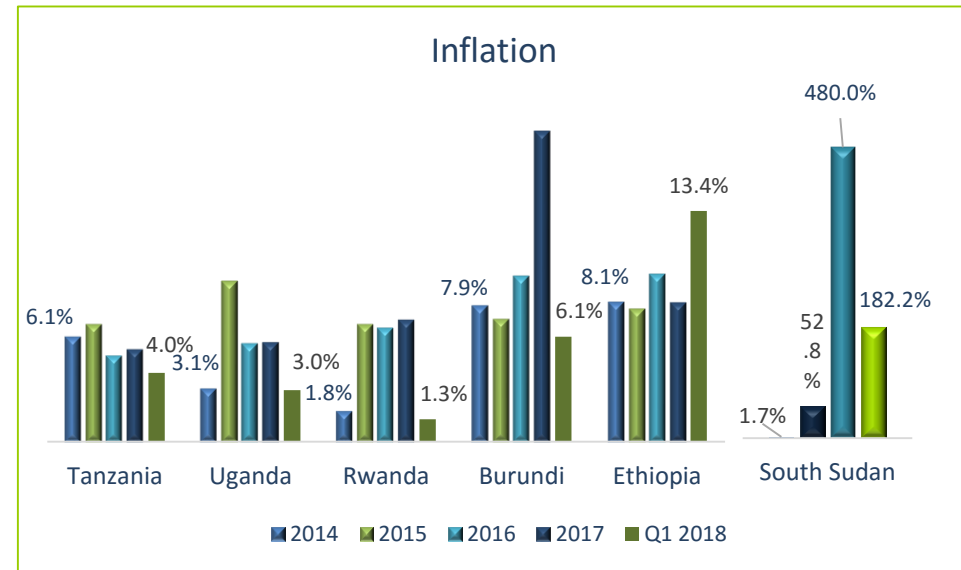
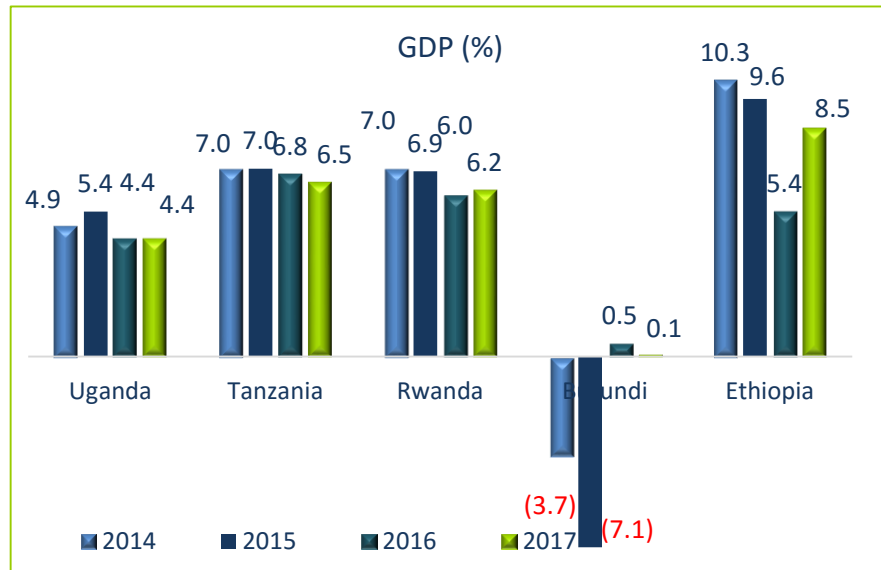


12 Month Private Sector Credit Growth



Source: CBK

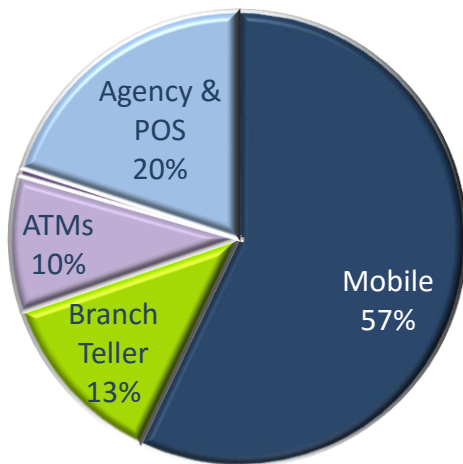
Macro-Economic Highlights: Regional



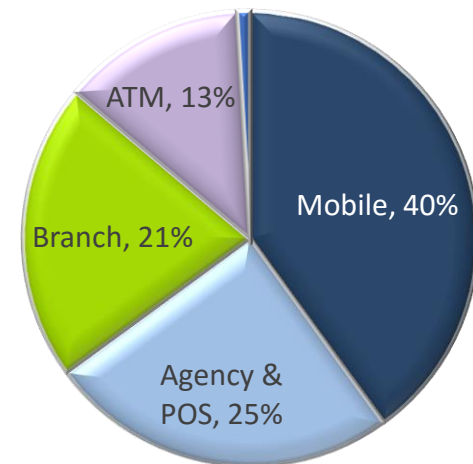
Sources: IMF, Bloomberg

87% of Transactions outside the Branch

Q1 2018



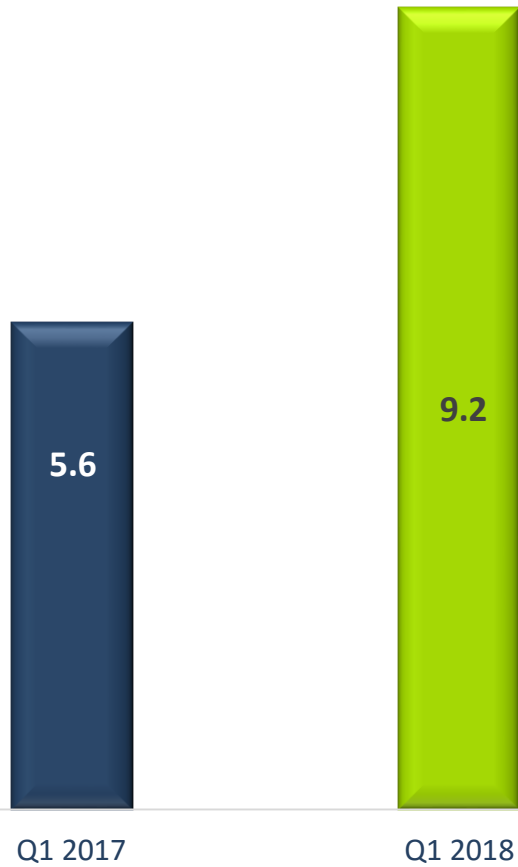
Q1 2017



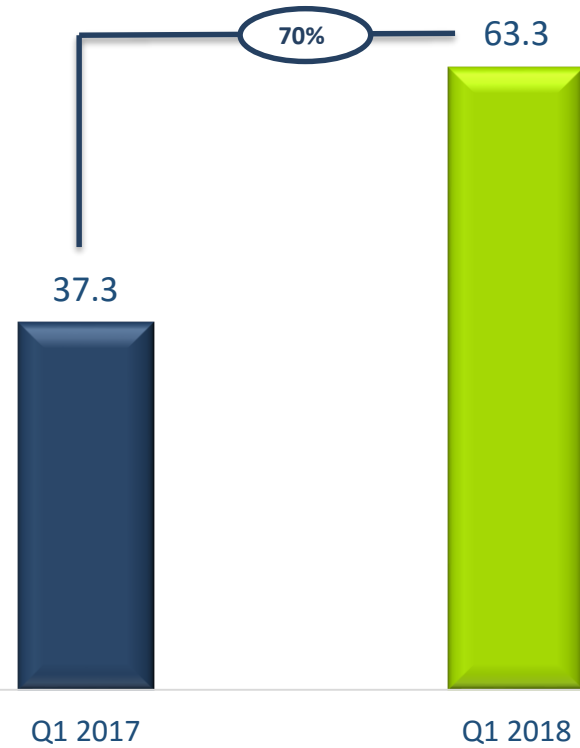
Source: KCB data

64% growth in Mobile Loan Disbursement

Mobile Loan Disbursement (KShs B)



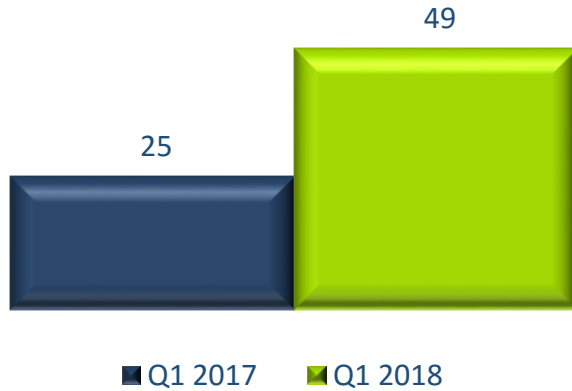
Mobile transactions (M)



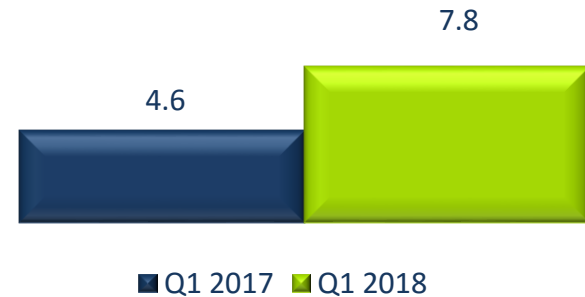
Source: KCB data

96% growth in Agency volumes

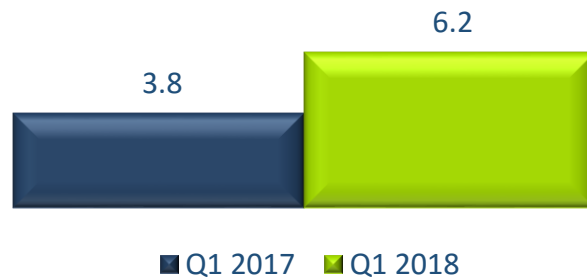
Agency volume (KShs B)



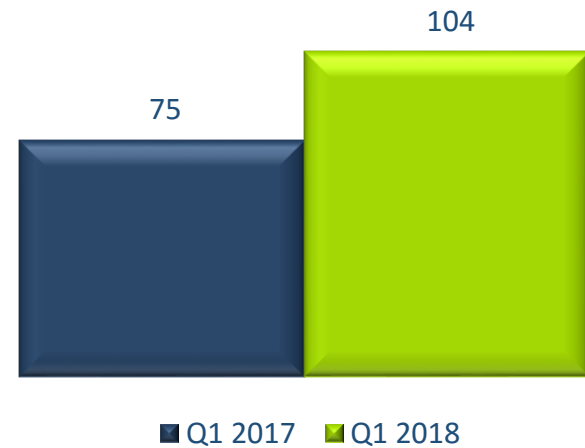
Agency transactions (M)



Average trnx/ Agent p.d

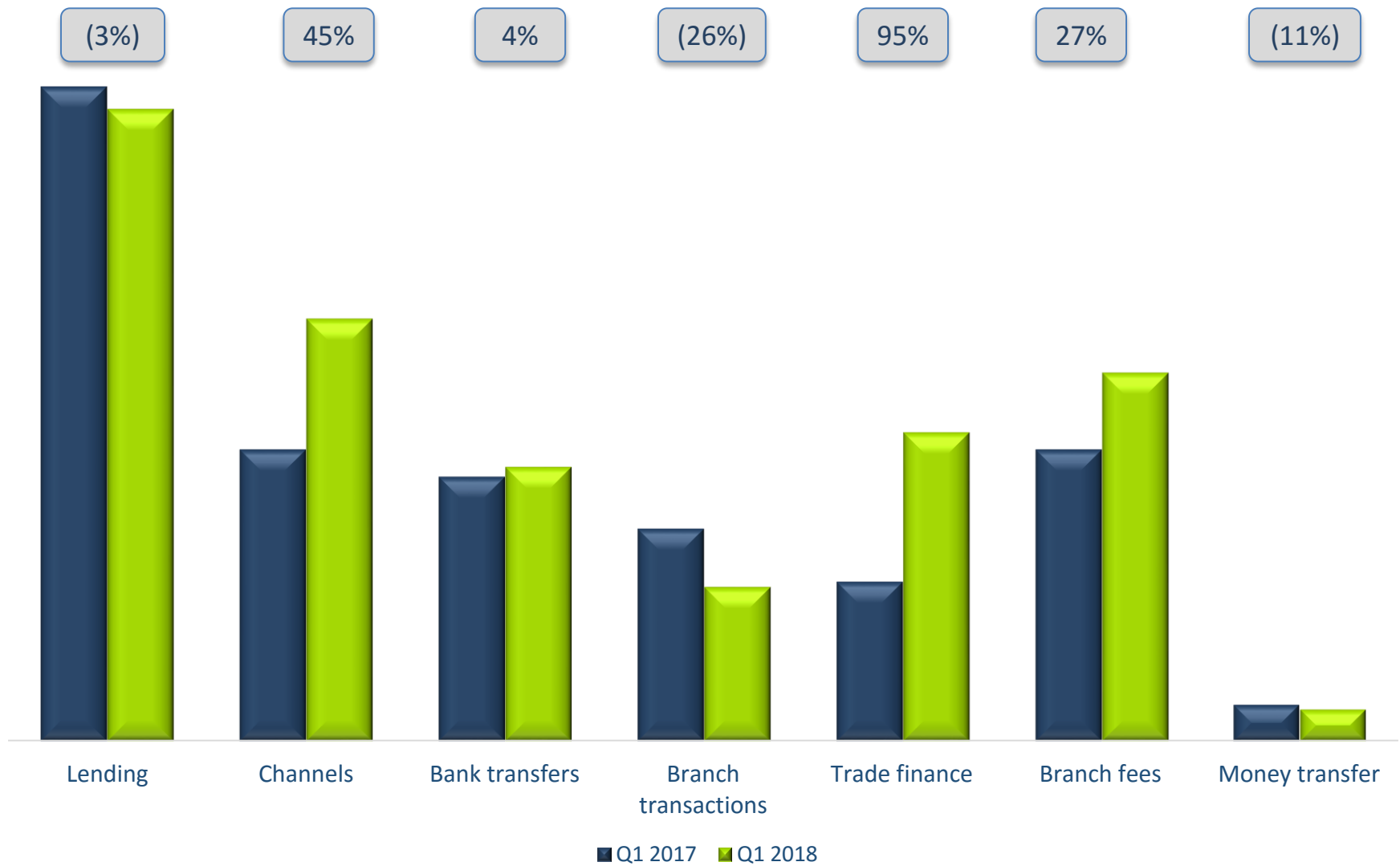


Revenue (KShs M)



Source: KCB data

15% growth in NFI drivers



Source: KCB data



KCB

OUR PERFORMANCE TO DATE

7% Total Assets growth driven by Net Loans & Advances

KCB Group

Net Loans and
advances

up 6%

KShs: 419B

Investment in
Govt.
Securities

**up
6%**

KShs: 112B

**Group Asset
Portfolio up
7%**

KShs: 647B

Cash and
Balances with
Central Bank
and other
Financial
Institutions

0%

KShs: 71B

Fixed and
other Assets

up 37%

KShs: 46B

KCB Bank Kenya

Net Loans and
advances

up 6%

KShs: 384B

Investment in
Govt.
Securities

**up
4%**

KShs: 97B

**KCB Bank
Kenya Asset
Portfolio up
8%**

KShs: 561B

Cash and
Balances with
Central Bank
and other
Financial
Institutions

**up
16%**

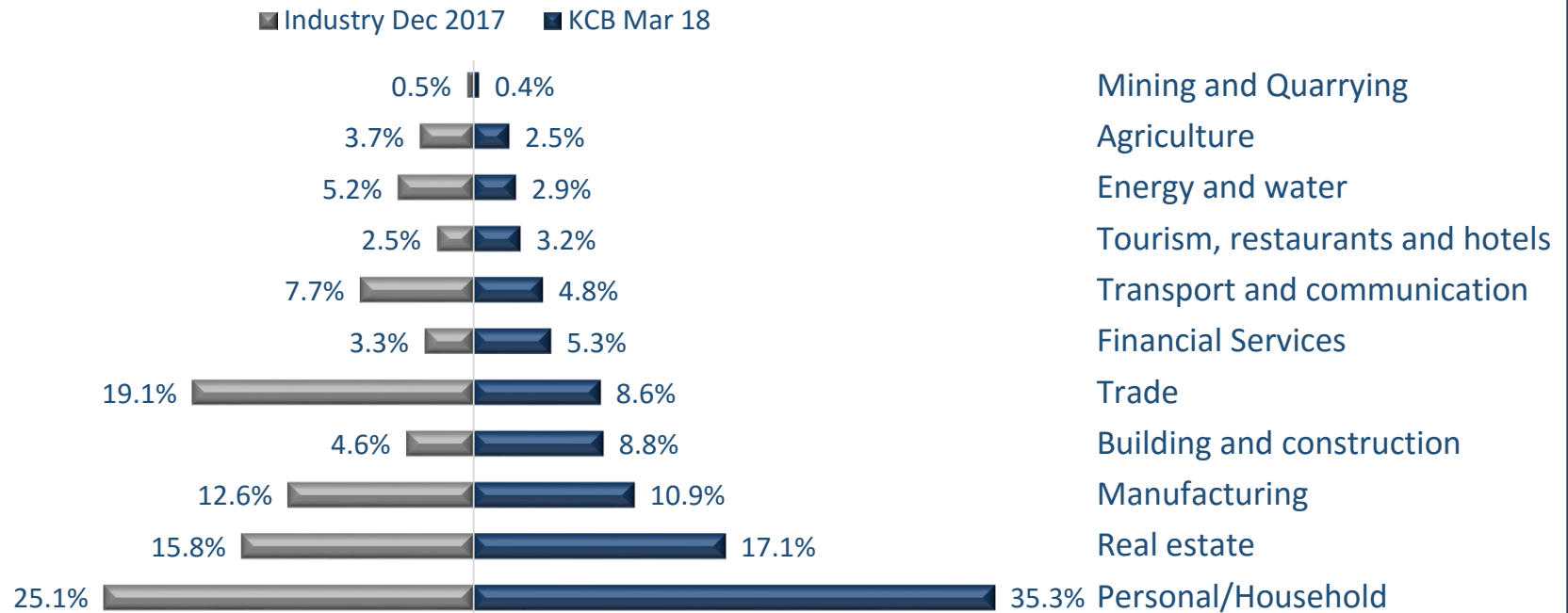
KShs: 40B

Fixed and
other Assets

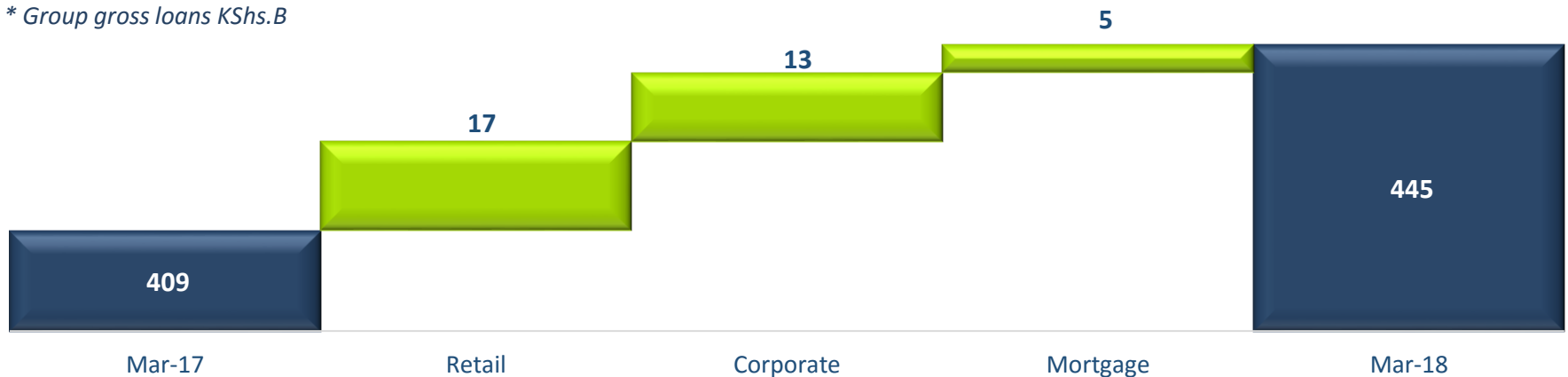
up 36%

KShs: 40B

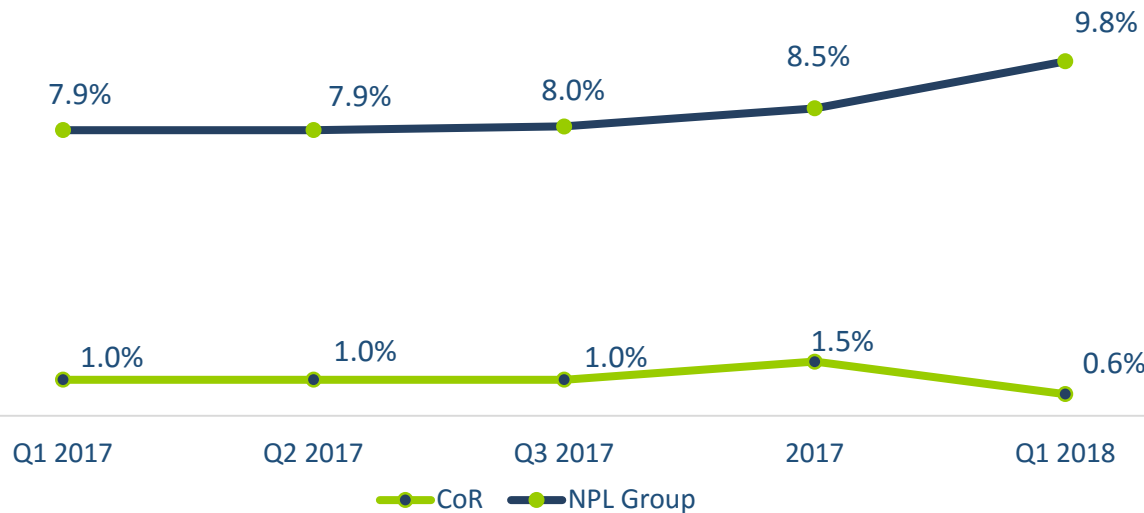
Well-diversified loan book



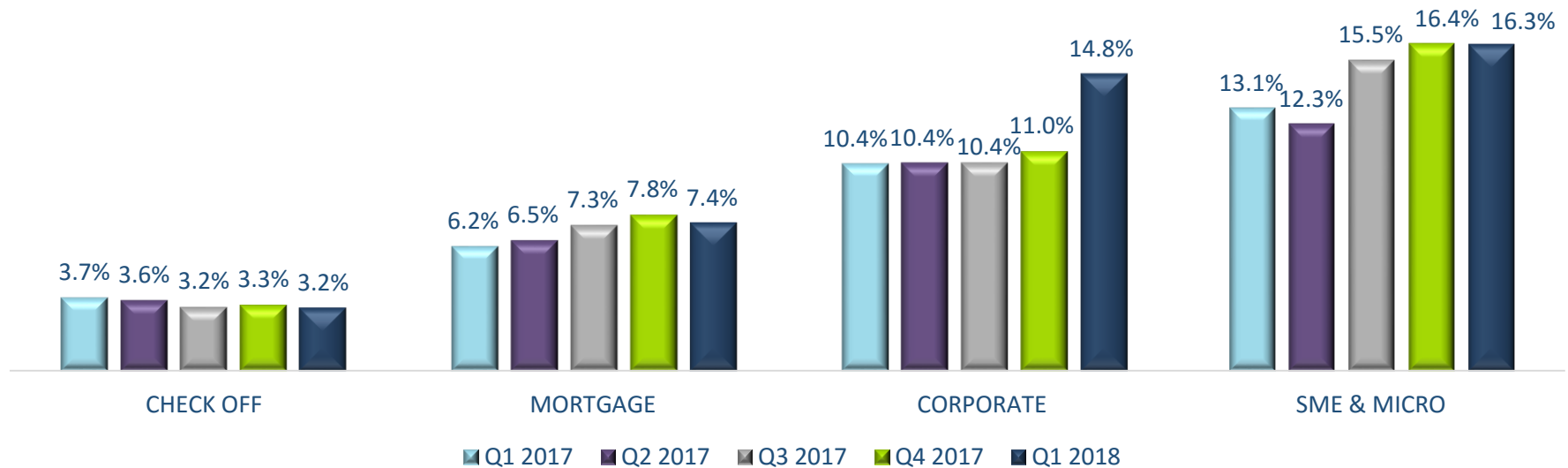
* Group gross loans KShs.B



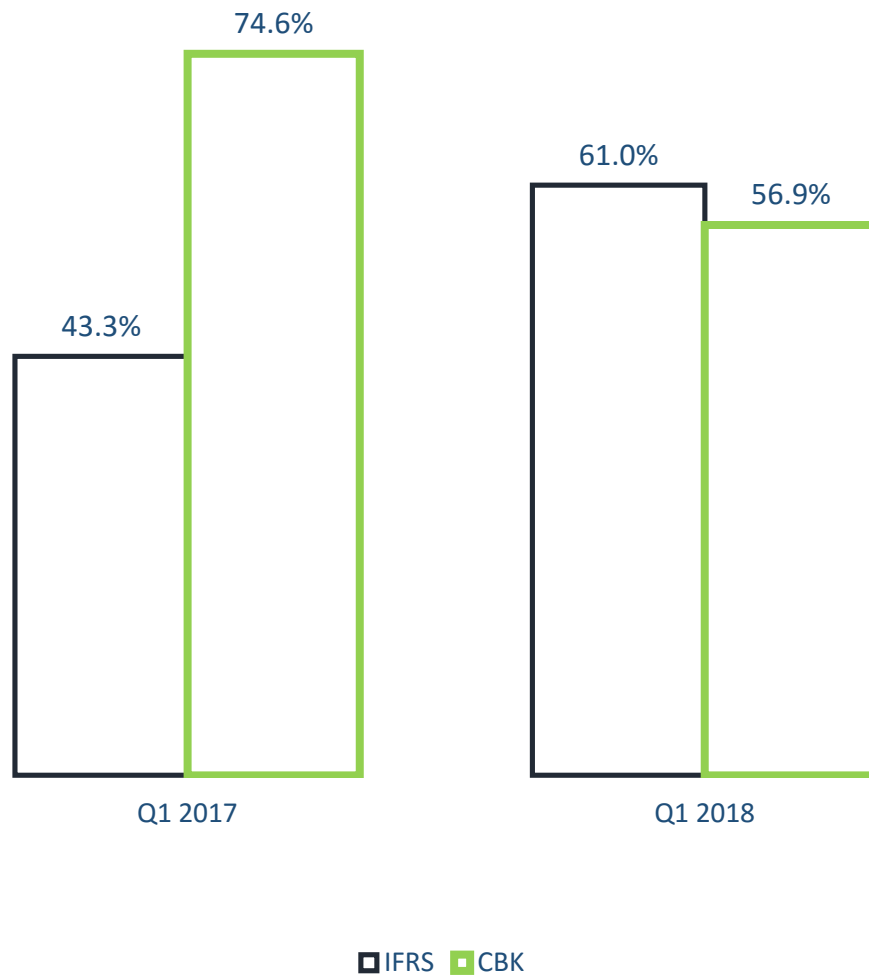
NPL Migration and Concentration



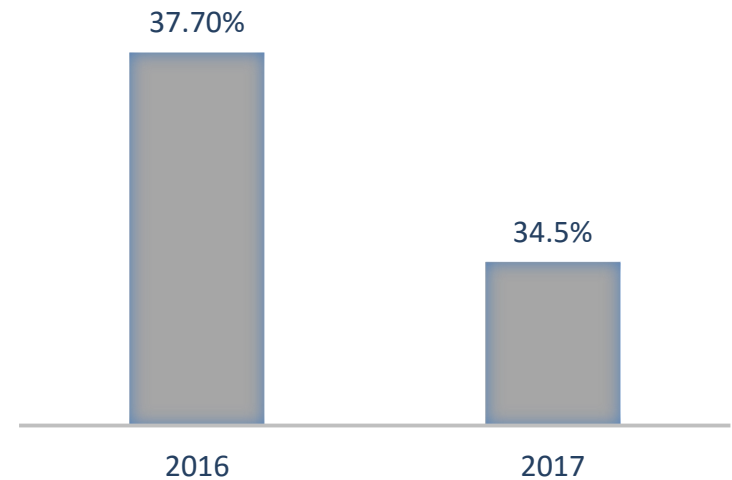
Sector NPL	Industry Dec 17	KCB Mar 18
Trade	16.5%	29.4%
Manufacturing	12.8%	14.6%
Building and construction	17.3%	12.6%
Real estate	9.0%	6.6%



Improved IFRS Coverage Position



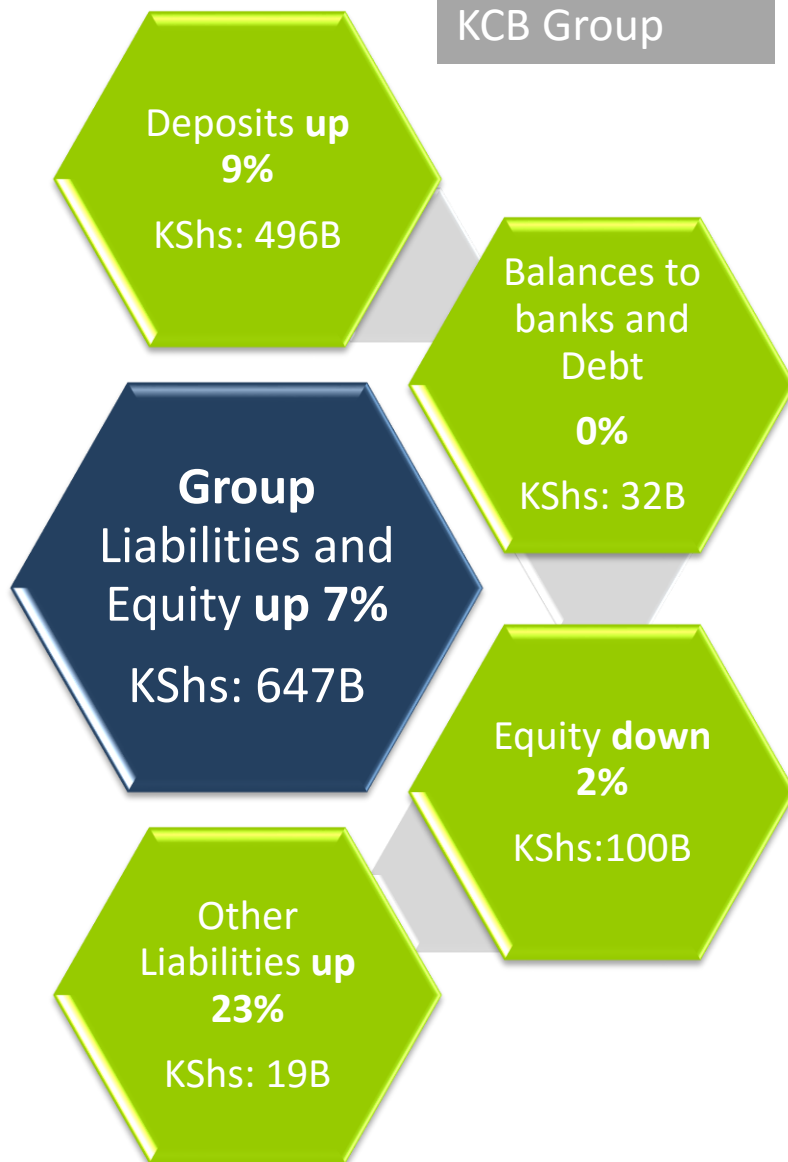
INDUSTRY



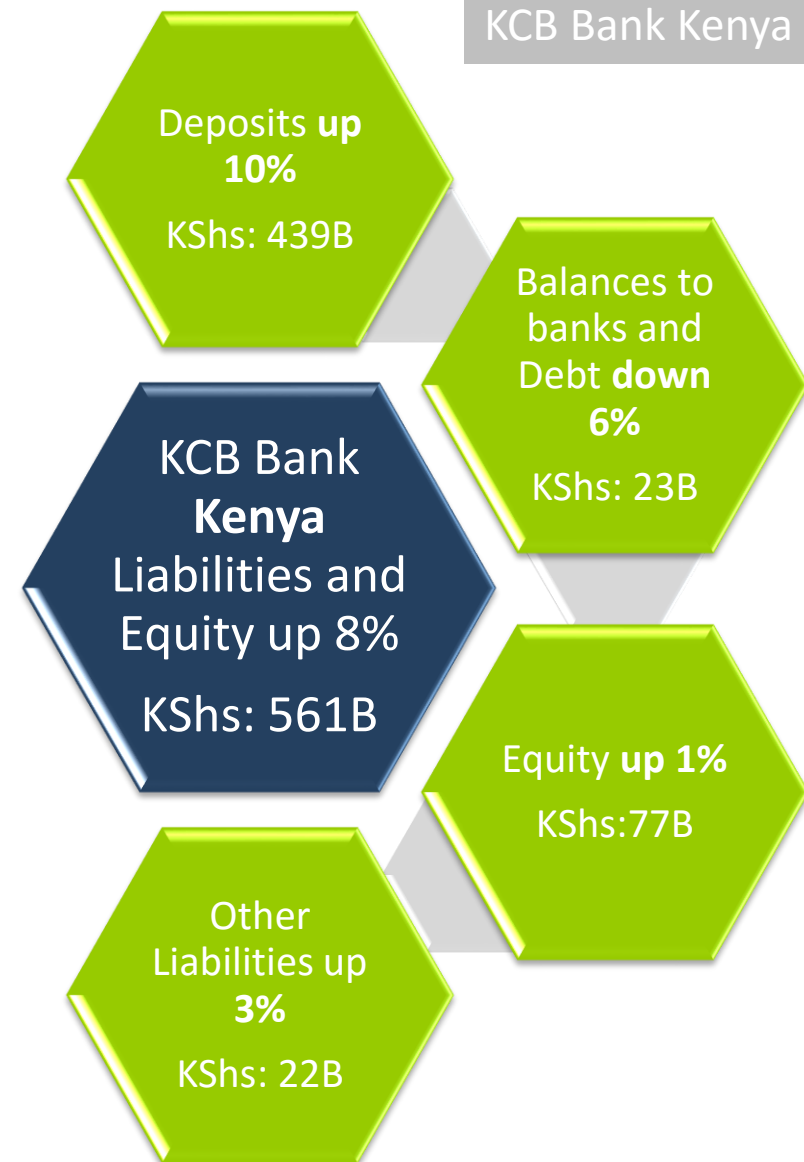
2017 industry position as at December

77% of Funding from Deposits

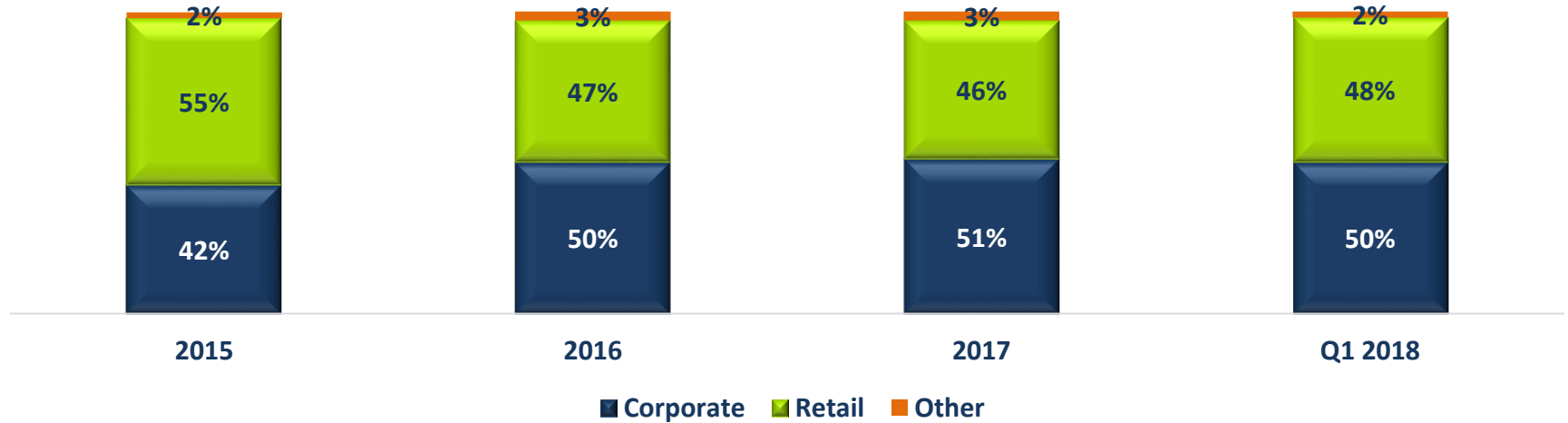
KCB Group



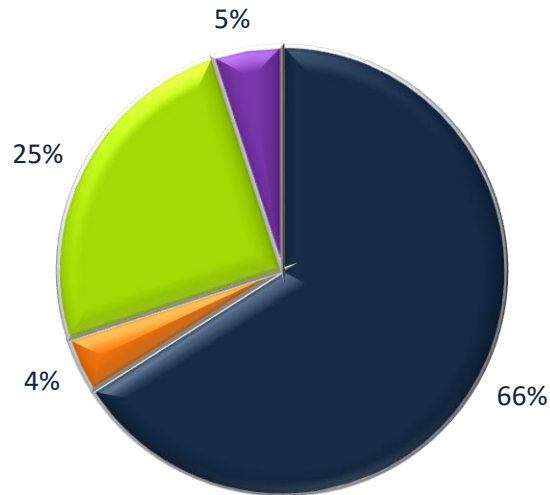
KCB Bank Kenya



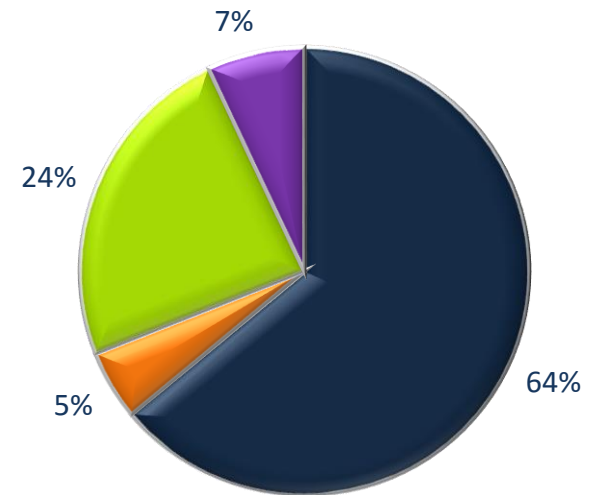
Well-funded and Diverse Portfolio



Deposits by Type Q1 2017

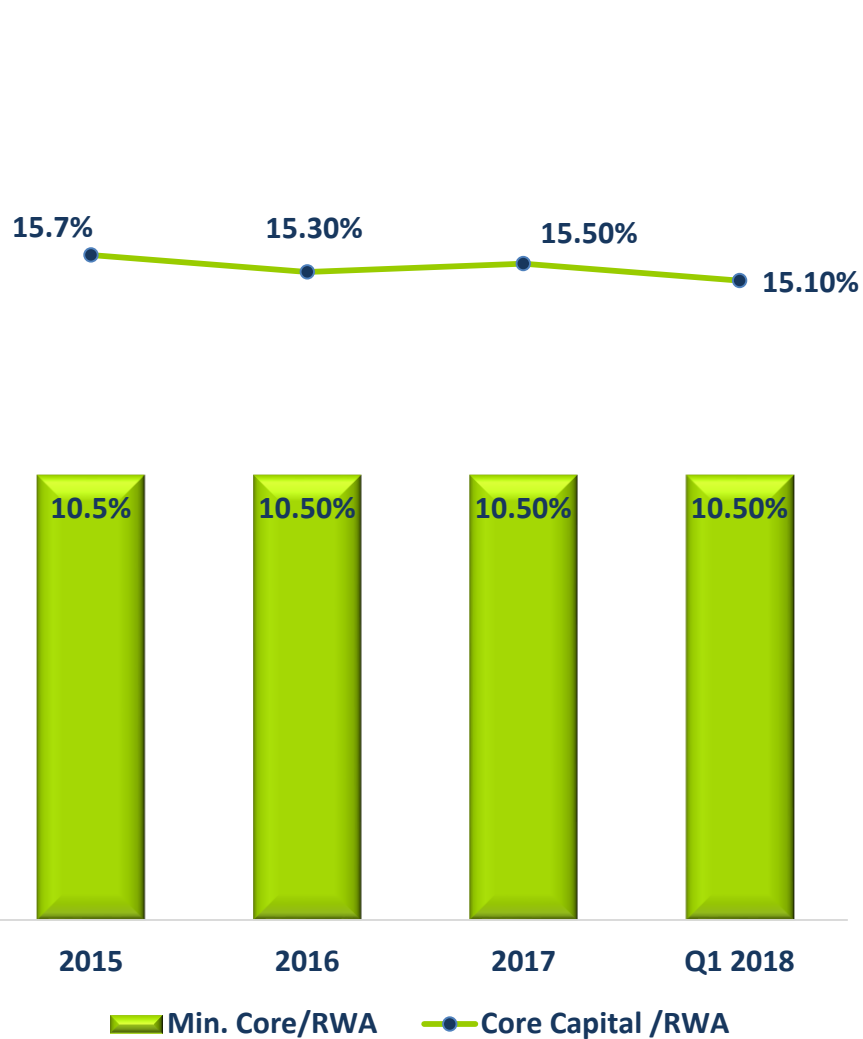


Deposits by Type Q1 2018

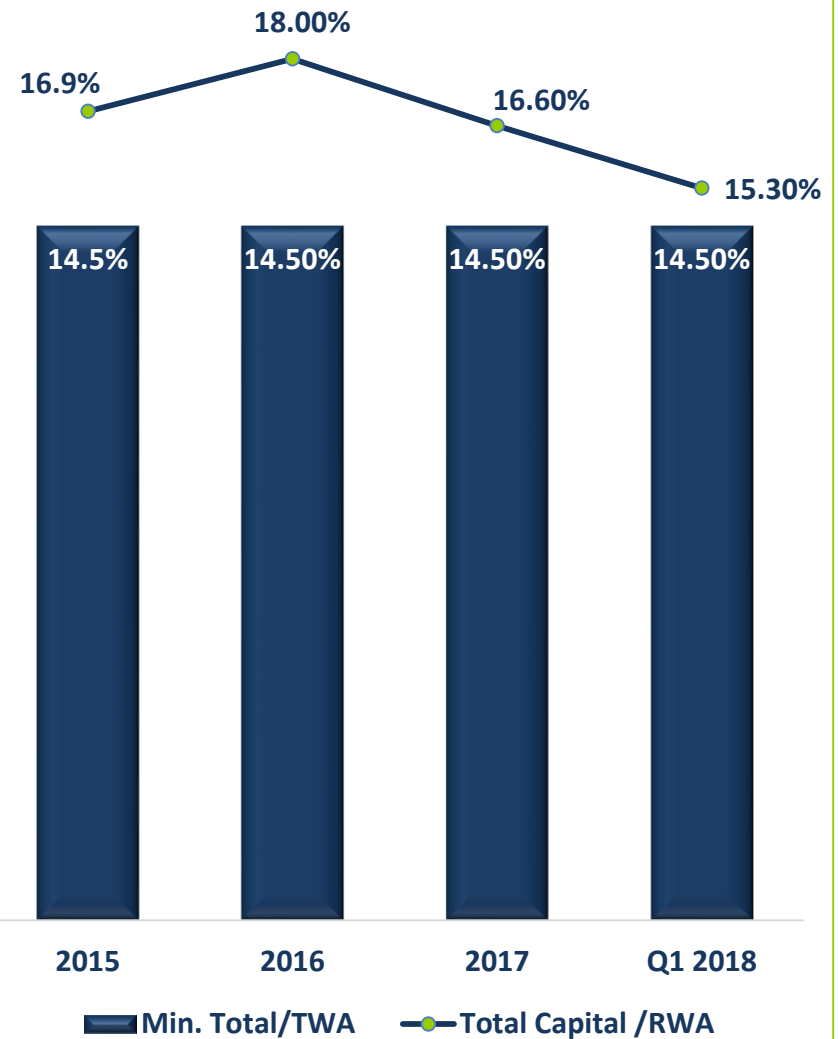


Adequate capital position

Group Core Capital to RWA



Group Total Capital to RWA



Resolute strategy delivers 7% balance sheet growth

KShs Billions	KCB Group			KCB Bank Kenya		
	Actual Q1 2017	Actual Q1 2018	Y-O-Y Change	Actual Q1 2017	Actual Q1 2018	Y-O-Y Change
Cash and balances with central bank	31.9	33.8	6%	28.8	30.4	6%
Balances with other institutions	38.9	37.1	(5%)	6.2	10.0	63%
Investments in Government & Other securities	106.0	112.1	6%	93.2	96.6	4%
Net loans and advances	395.5	418.6	6%	362.9	383.9	6%
Fixed assets	12.6	14.4	14%	9.1	10.1	11%
Other assets	20.9	31.4	50%	20.3	29.9	47%
Total Assets	605.8	647.5	7%	520.5	560.9	8%
Customer Deposits	456.8	496.4	9%	397.9	438.7	10%
Balances due to other banks	8.4	9.5	14%	4.8	4.7	(2%)
Other liabilities	15.8	19.4	23%	21.5	22.0	3%
Long-term debt	23.6	22.5	(5%)	19.9	18.4	(7%)
Total Liabilities	504.5	547.8	9%	444.0	483.9	9%
Shareholders' Equity	101.2	99.6	(2%)	76.5	77.0	1%
Total Liabilities and Equity	605.8	647.5	7%	520.5	560.9	8%

14% Growth in Earnings

KShs Billions	KCB Group			KCB Bank Kenya		
	Actual Q1 2017	Actual Q1 2018	Y-O-Y Change	Actual Q1 2017	Actual Q1 2018	Y-O-Y Change
Interest Income	14.1	15.7	11%	12.6	14.0	12%
Interest Expense	(3.8)	(4.2)	13%	(2.9)	(3.5)	20%
Net interest income	10.3	11.4	10%	9.6	10.5	9%
Foreign exchange income	1.3	1.0	(20%)	0.6	0.7	16%
Net fees and commissions	3.5	3.6	5%	2.3	2.7	15%
Other income	0.8	0.9	8%	0.7	0.8	13%
Total other operating income	5.6	5.5	0%	3.6	4.2	15%
Total other operating expenses	(7.8)	(8.3)	(6%)	(6.2)	(6.7)	-7%
Provisions for bad debts	(1.0)	(0.6)	37%	(0.8)	(0.5)	-36%
Profit Before Loss on Monetary Position	7.1	8.0	13%	6.2	7.4	19%
Loss on Monetary Position	(0.5)	(0.5)	0%	0.0	0.0	0%
Profit before tax	6.6	7.5	14%	6.2	7.4	19%
Tax	(2.1)	(2.3)	(12%)	(1.7)	(2.1)	18%
Profit after tax	4.5	5.2	14%	4.5	5.4	20%

Overview of Key Financial Ratios

Q1 17	Q217	FY 17		KENYA	GROUP
20.3%	23.6%	19.5%	Return on Average Equity	25.7%	20.2%
52.5%	47.4%	46.2%	Cost to Income*	45.0%	48.3%
7.9%	7.8%	8.5%	Gross NPL to Gross Loans	10.0%	9.8%
79.6%	84.6%	74.4%	NPL Coverage	64.0%	56.9%
23.3%	14.5%	14.0%	Debt to Equity	23.9%	22.6%
35.0%	28.3%	32.2%	Non funded income to total income	28.3%	32.7%
3.1%	2.8%	3.0%	Cost of funds	3.1%	3.2%
7.9%	9.2%	8.9%	Net Interest Margin	8.2%	8.2%
1.0%	0.9%	1.5%	Cost of risk	0.5%	0.6%
86.6%	90.7%	85.1%	Loan to Deposit Ratio	87.5%	84.3%
14%	19%	10%	Growth of Net Loans and Advances	6%	6%
8%	16%	11%	Growth of Customer Deposits	10%	9%

*excluding restructuring costs

Thank you.

Investor Relations
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www.kcbgroup.com